

In other words, if X is the total monthly contribution to EPF ^[31], try and contribute 150% of X in an equity index mutual fund.

The proportion is known as **asset allocation** – the linchpin of an investment portfolio. What's shown above is just an illustration. You can opt for say 30% in EPF and the rest in equity or 50-50 or 10-90 - it is totally up to you. The best asset allocation widely followed is ***'Whatever lets you sleep peacefully at night.'***

As you consider your Conscious Spending Plan, sync it with the Next-100 Plan - move over to investing your monthly salary accordingly.

That is it! Three-huts, Hurray! If you can manage to keep this up – 40% in EPF + 60% in next Nifty fund, you stand a pretty good chance of beating inflation in the long-term.

What is the impact of Commissions?

While investing, you should buy it directly from ICICI Mutual Fund. Not ICICI Bank, not ICICIDirect or through any middlemen because they take commissions which are paid from your investments, reducing your returns significantly.

A commission-based mutual fund is known as a 'regular plan' (though, nothing regular about it!). If the regular plan fund charges an additional fee of 0.5% (of the amount invested) to be paid out as commissions (often hidden and never in plain sight), then this is how the investment values compare over 20 years for a monthly investment of ₹6000 and annualized return of 10%.

